

me that the company was sick and that there was no business activity. In fact, it was on the verge of closing down. The price had risen on the flimsiest of excuses and the crowd comprising of otherwise intelligent, logical and rational human beings, acted irrationally and illogically. A lot of persons did make money on the stock — but most lost, having bought it with no other information than the rumour that Harshad Mehta was buying the share. One would have thought one learns. Not so.

History repeats itself. At the end of the last century Indian shares, especially those related to Information Technology (IT), such as Wipro, Infosys (lovingly called Infy) and Satyam (Sify) began to be quoted in America in the NASDAQ. With the rise in NASDAQ, these shares began rising and a wave feeling took over that software was the new mantra and that the shares of all IT companies could only go one way — up. Thus began an upward movement that gained momentum every day till prices became unreal. The wise began to exit and as this took root prices began to fall. This had a snowballing effect and soon prices had fallen by more than 50%. Then, later, when the dotcom boom occurred, shares were priced on the basis of “stickiness of eyeballs”. It is impossible to get more esoteric. Later in 2000 people began buying shares that Ketan Parekh was purportedly buying. The question that begs an answer is, “Will investors never learn?” The answer probably is that man’s greed is bottomless.

In 2003, prices again began moving upwards. The Sensex broke through the 5,000 barrier and there were many who predicted that it would reach 6,000 in six months/ one year/ very soon. In 2006 and 2007 there was an unprecedented surge in the Sensex. It culminated on 8 January 2008 when the Sensex closed at 21,078. At that time it was predicted the Sensex would cross 50,000 within a few months. Many buy on the “strength” of these predictions which are nothing but predictions, hopes, expectations. Nothing backed by logic or sense.

Fundamental analysis submits that no one should purchase a share on a whim. Investment in shares is serious business and all aspects and factors, however minor, must be analyzed and considered. The billionaire Jean Paul Getty, until his death the richest man in the world, once said, “No one should buy (a share) without knowing as much as possible about the company that issues it”. Jim Slater was one of the most successful stock pickers of all time. He evolved a theory called the Zulu theory which submits that one must know all about the company and the industry, and